2009 HSC ECONOMICS

ECONOMIC OBJECTIVE: PRICE STABILITY

To achieve a low and stable rate of inflation.

WHAT IS PRICE STABILITY?

Price stability means keeping inflation low (around 2–3%) and stable over time.

It maintains purchasing power, reduces uncertainty and supports sustainable economic growth and employment.

WHY IT MATTERS

- ☑ Protects living standards and real incomes.
- ☑ Helps businesses plan and invest with confidence.
- ☑ Keeps interest rates lower over the long run.
- ☑ Supports economic growth and employment.



1. NATURE OF PRICE STABILITY

Price stability is about keeping the general level of prices (inflation) low and stable over time – not zero inflation.

2. DIMENSIONS (WHAT IT LOOKS LIKE)

- **LOW INFLATION:** The average rate of increase in prices remains low.
- **STABLE INFLATION:** Inflation does not fluctuate widely over time.
- **PREDICTABILITY:** People can form reliable expectations about future prices and wages.
- **SUSTAINABLE:** Achieved without relying on ongoing interventions.

3. KEY MEASURES – LATEST DATA

Source: ABS Consumer Price Index, Australia (March 2026)
Source: RBA Statement on Monetary Policy (May 2026)

CPI ANNUAL INFLATION (Year-ended)

Change in CPI over the past 12 months.

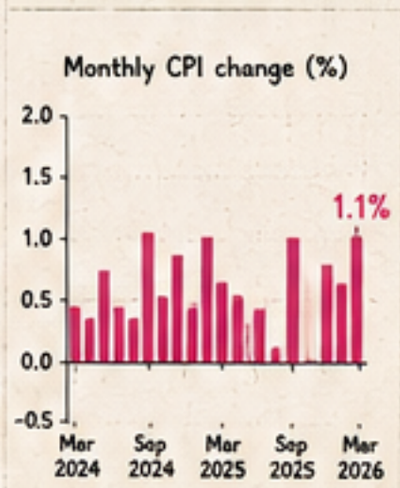
4.6%
March 2026



CPI MONTHLY CHANGE (Seasonally adjusted)

Change in CPI over the most recent month.

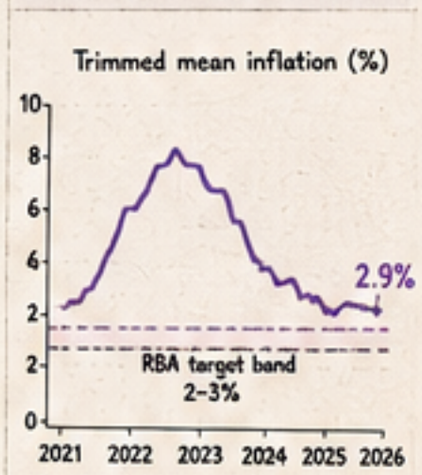
1.1%
March 2026



TRIMMED MEAN INFLATION (Year-ended)

Underlying inflation – excludes volatile items.

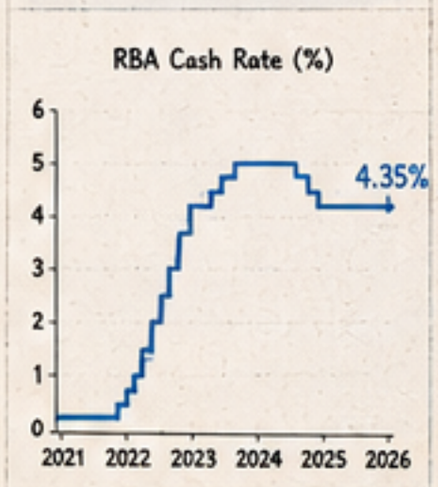
2.9%
March 2026



RBA CASH RATE (Effective rate)

Interest rate set by the RBA to influence inflation and economic activity.

4.35%
as at 6 May 2026



RBA INFLATION TARGET
2–3% over the cycle

LATEST CASH RATE MOVE
+0.25 percentage points on 6 May 2026

4. POLICIES THAT INFLUENCE PRICE STABILITY

MONETARY POLICY (RBA)

- Cash rate target (main tool)
- Open market operations
- Forward guidance

FISCAL POLICY (GOVERNMENT)

- Manage aggregate demand through spending and taxation
- Avoid excessive stimulus when economy is above potential

SUPPLY-SIDE POLICIES

- Improve productivity and competition
- Reduce cost pressures (e.g. energy, transport, regulation)

5. HOW TO EVALUATE SUCCESS – A STEP-BY-STEP GUIDE

1. **IDENTIFY THE OBJECTIVE**
   Price stability = low and stable inflation (target 2–3% over the cycle).
2. **IDENTIFY THE RELEVANT INDICATORS**
   Use key measures (see above) and look at both the level and the trend.
3. **ANALYSE THE EVIDENCE**
   - Is headline inflation within the 2–3% band?
   - Is underlying (trimmed mean) inflation within band?
   - Is inflation stable (not volatile) over time?
4. **WEIGH UP TRADE-OFFS & SIDE EFFECTS**
   - Higher interest rates can slow inflation but reduce growth and employment.
   - Policy lags mean effects take time.
5. **MAKE A JUDGEMENT**
   Overall, how successful have policies been in maintaining price stability? Consider:
   ☑ Evidence ☑ Trade-offs ☑ Time period ☑ Context
6. **CONCLUSION**
   State a clear judgement with reasons.

6. CURRENT CONTEXT (WHY IT MATTERS NOW)

- Headline inflation is above the RBA's target band at 4.6% (Mar 2026), largely due to higher prices for services, housing and insurance.
- Underlying inflation has eased to 2.9% and is within the target band.
- Monthly CPI rose 1.1% in March 2026 – a reminder that short-term movements can be volatile.
- The RBA has maintained a restrictive policy stance; the cash rate is 4.35% following a +0.25 pp increase on 6 May 2026.
- The challenge is to bring inflation down sustainably without causing a sharp rise in unemployment or a recession.

EXAMPLE: HOUSING COSTS

Rental and new dwelling costs continue to put upward pressure on inflation. Policies that improve housing supply (can reduce cost pressures over time).

DID YOU KNOW?

A little inflation is normal and even desirable – it encourages spending and avoids the risks of deflation.

KEY TAKEAWAY

Price stability is best achieved when inflation is low, stable and within the 2–3% target band over the cycle. Use data, context and judgement to evaluate whether economic policies are succeeding.

EVALUATE – DON'T JUST DESCRIBE!

- ★ Look at the trend, not just the number.
- ★ Consider both benefits and costs.
- ★ Use evidence and make a judgement.